Astera Labs (ALAB)

AI Connectivity Ramping Hard

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*AI Connectivity Ramping Hard. Q2 revenue of $392.4M grew 104.5% YoY, and Q3 guidance of $540-560M is 34% above consensus. PCIe 6 and CXL retimers are shipping into hyperscaler AI racks [8-K guid]. Business Quality Is Real. Fabless model, ~75% gross margins, zero debt, 39% net margins in Q2. The moat is protocol IP and qualification cycles, not silicon scale [10-Q Q2 FY26]. Valuation Is the Problem. DCF base of $134.81 sits 53% below the $285.82 spot; the reverse DCF says the market prices a 78% 5-year CAGR, above our bull case. Great company, wrong price [DCF sheet, Mkt 17-Oct-26]. Our framework screens it as a **Hold** with a $136.57 blended target, 52% below the current price.*

HOLD	$136.57	-52%	$285.82
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Business Quality Is Real. Fabless model, ~75% gross margins, zero debt, 39% net margins in Q2. The moat is protocol IP and qualification cycles, not silicon scale [10-Q Q2 FY26].

Valuation Is the Problem. DCF base of $134.81 sits 53% below the $285.82 spot; the reverse DCF says the market prices a 78% 5-year CAGR, above our bull case. Great company, wrong price [DCF sheet, Mkt 17-Oct-26].

$392.4M	$540-560M	$0.80	39.0%	73.3%	$1.89B
REVENUE (Q2 FY26)	Q3 FY26 REVENUE GUIDE	EPS (Q2 FY26)	NET MARGIN (Q2 FY26)	GROSS MARGIN (Q2 FY26)	FY2026 CONSENSUS REVENUE

The moat is structural

Q3 revenue guide $540-560M, up ~139% YoY and 34% above consensus

Three scenarios make the valuation range explicit

The DCF values Astera Labs across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$84.17**	-71%
Base	50%	**$134.81**	-53%
Bull	25%	**$192.49**	-33%

Bear ($84.17, -71%): Growth disappoints and multiples compress; the $84.17 target marks the downside case.

Bull ($192.49, -33%): Execution compounds and the multiple rerates; the $192.49 target marks the upside case.

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The probability-blended target implies -52% upside

Blended target: $136.57 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -52% upside from the $285.82 reference price.

$136.57

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Fwd P/E (NTM) 44.6x [Mkt 17-Oct-26] DCF Base $134.81 vs $285.82 spot = -53% downside [DCF sheet] Implied 5-yr revenue CAGR 78.3% vs bull case 50% [DCF sheet] The honest math says the market prices near-flawless 78% compounding for five years, above our bull case. Absolute valuation is poor at this price.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $136.57 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Q3 revenue guide $540-560M, up ~139% YoY and 34% above consensus [8-K guid]

PCIe 6 / CXL retimers and Aries 7 design wins ramping at hyperscalers [8-K guid]

Orion launch moves Astera from components into rack-scale AI fabric [8-K guid]

What to monitor

Nov 3, 2026. Q3 FY26 Earnings (Positive): Guide raised to $540-560M revenue (+139% YoY) vs $410M consensus. The stock must prove the ramp.

Oct 2026. Orion Rack-Scale Architecture (Positive): Compute-agnostic inference fabric expands TAM beyond retimers into rack-scale AI networking.

Ongoing. Insider Selling (Two-Sided): 408,558 shares (~$127M) sold by insiders last quarter; heavy at a 140x trailing multiple.

$392.4M	$540-560M	$0.80	39.0%
REVENUE (Q2 FY26)	Q3 FY26 REVENUE GUIDE	EPS (Q2 FY26)	NET MARGIN (Q2 FY26)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$853M	$645M	$219M
2024	$396M	$303M	$-83M
2023	$116M	$80M	$-26M
2022	$80M	$59M	$-58M

Key risks

Priced for Perfection. At $286, the market implies a 78% 5-year revenue CAGR, above our 50% bull case and verdict euphoric. Any guide miss would re-rate the multiple hard. [DCF sheet]

Customer Concentration. A handful of hyperscalers drive AI revenue; loss of a design at any major platform would be material to the growth trajectory. [10-K FY25]

Insider Selling. Insiders sold 408,558 shares (~$127M) last quarter, including a 77% position cut by a director. Not inherently bearish, but heavy at this multiple. [Cons]

Investment view

A Q3 beat-and-raise that validates the $540-560M guide could push the stock toward the $348 consensus target; a miss at this multiple would cut Forward Growth and Trend sharply and validate the euphoric reverse-DCF read.

Hold. The $136.57 blended target implies -52% upside, balancing the $84.17 / $134.81 / $192.49 Bear / Base / Bull targets.

PCIe 6 / CXL retimers and Aries 7 design wins ramping at hyperscalers [8-K guid]

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Upcoming catalysts

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